THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 7 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 2

Chapter 12: **Understanding Markets** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Why does the government fix maximum prices for life-saving drugs? 1

(a) to keep them affordable **(b)** to ban sales
(c) to stop use **(d)** to raise profits

2. What is the effect of too many sellers selling the same item? 1

(a) higher prices **(b)** no sales
(c) competition leads to lower prices **(d)** no change

3. Which is an example of a service? 1

(a) rice **(b)** haircut **(c)** cloth **(d)** wheat

4. Why do minimum wages exist? 1

(a) to prevent exploitation of workers **(b)** to raise prices
(c) to end work **(d)** to reduce wages

5. Which factor influences demand for ice cream? 1

(a) language **(b)** temperature **(c)** caste **(d)** religion

6. Which is an example of a good? 1

(a) cloth **(b)** repair **(c)** haircut **(d)** teaching

7. A trader exports cloth to another country. The money he earns is called 1

(a) tax **(b)** rent **(c)** foreign exchange **(d)** interest

8. Which of these is a perishable good? 1

(a) steel **(b)** stone **(c)** milk **(d)** gold

9. Why do wholesalers buy in large quantities? 1

(a) to waste goods **(b)** for fun
(c) to get lower prices and supply retailers **(d)** to store only

10. Why is Surat a major textile hub? 1

(a) no raw material
(b) no workers
(c) no market
(d) cotton supply, skilled workers and trade networks

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. What does the ISI mark tell? 2

12. What is meant by profit? 2

13. What is the role of middlemen? 2

14. Why do prices differ in different markets? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Explain how cold storage benefits farmers and consumers. 3

16. Explain why traditional markets like Hampi mattered. 3

17. Explain the role of Ima Keithal as a women's market. 3

OR

Explain the role of the wholesaler and retailer. 3

18. Explain how consumer awareness protects buyers. 3

OR

Explain how needs and wants differ across people. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain the role of the government in protecting farmers, workers and consumers. 5

OR

Discuss the advantages and risks of online shopping. 5

20. Compare weekly markets, shops and online markets. 5

OR

Explain consumer rights and responsibilities. 5

END OF QUESTION PAPER — Total: 40 Marks

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